

As there were limited foreign exchange (forex) reserves, in view of low export potential of the economy, quantitative restrictions in terms of import license were imposed, in addition to high tariffs on intermediate and consumer goods, moderate tariffs on capital goods, and ban on import of some items. The control was further tightened in view of foreign exchange crisis during 1957-58 when the first loan had to be negotiated with the IMF. A market developed for use of these licenses and rent-seeking became rampant. Only in mid-1980s, some relaxations were afforded.

7.3.3 License Permit Quota Raj

The Industries (Development and Regulation) Act of 1951 made it compulsory for all new undertakings to seek license and for all existing undertakings to get registered. It was amended in 1953, requiring an undertaking to seek permission to produce new articles, to carry out substantial expansion, and to shift to a new location. And the applications were to be examined for half a dozen factors by the License Committee set up by the Act of 1951. Licensing was itself a cumbersome process: application to be cleared by Directorate General of Technical Development, then forwarded to the License Committee which would issue a letter of intent, based on which applicant could move to seek permission to import goods, enter into foreign collaboration, acquire land, issue new capital beyond a small limit or seek loan from a financial institution. Thus, barriers to entry were high.

This was all done with a view to prevent concentration of economic power, to ensure balanced regional development, and to encourage small scale industry (which were exempt from seeking license) and labour-intensive technology—though reservation of items for exclusive production started only in 1967 with 47 items and the list expanded periodically till 1989.

However, when an assessment of working of licensing system was made, it came to the fore that it did not serve the objective of the Industrial Policy Resolution 1956 as economic-power and regional concentration both increased. Industrial houses were able to manipulate the system and licensing authorities were willing to be manipulated for a consideration. Public sector financial institutions also favoured large industrial houses. The lesson learnt was not the recognition of government failure, but a thinking that led to further tightening of regulation for industries to make them fall in line. So, Monopolies and Restrictive Trade Practices Act was brought in 1970 providing for a Commission, which was set up to pursue the said objectives.

7.3.4 Public Sector Expansion and Nationalisation

Before Independence, there were some departmentally run commercial ventures such as postal service – including telegraph and telephone service, and railways (largely nationalised by 1944), besides captive ventures of 18 ordnance factories and central public works department. Provinces also had irrigation departments and captive public works departments. However, immediately after Independence, some public sector undertakings with ownership of the Government were started and by the time Planning Commission was established their number was five. These include Indian Telephone Industries, Damodar Valley Corporation, National News Print Limited, Oriental Insurance Limited, and Indian Rare Earths Limited.

A new industrial policy resolution was passed in 1956 in the Parliament, following the resolution on socialistic pattern of society. This policy resolution expanded the sphere of public sector and contracted that of private sector. With a view to creating and expanding infrastructure, generating financial resources, redistributing income and wealth, balancing regional development, and substituting imports by domestic production, quite a few industries were nationalised for one or the other reason— some for strategic importance of the industry, some in the interest of working class when industries were found falling sick, and some to safe keep technology.

Government of India and state governments went on creating and expanding public sector undertakings. By 1990, the number had reached 230 under Government of India. Majority of these are under the aegis of Department of Public Enterprises but there are about two dozen other departments which had at least one public sector enterprise— as statutory corporation or government company.

Reserve Bank of India, after its nationalisation in 1949, was entrusted with regulation of banks through Banking Regulation Act of 1949. Imperial Bank was nationalised as State Bank of India in 1955. Life Insurance of India was created in 1956 by merging more than 200 insurance and provident fund companies—including 16 foreign insurers. Most people recall nationalisation of 14 major banks in 1969, of 6 major banks in 1980, and of 107 general insurance companies (55 into companies and 52 insurance arms of companies) into General Insurance Corporation of India in 1972 with four subsidiaries for operations.

With independence, Government had asserted that it could nationalise any private or foreign venture. Starting with Air Corporation Act in 1953, Air India (an initiative of TATA) was nationalised and half a dozen regional airlines were merged and nationalised as Indian Airlines. One by one, electricity, steel, iron, coal, and oil industries were nationalised.

7.3.5 Beginning of Economic Reforms

However, after nationalisation of 6 major banks in 1980 (following the nationalisation of 14 banks in 1969), thinking started changing as it was felt that not only the goal of equity was not being satisfactorily realised but that of growth (efficiency) was also getting compromised. As a result of the oil price shock in 1979, there was pressure on forex reserve, the IMF was approached for a loan of SDR 5.0 billion to be availed over four years 1981-1984 under Extended Fund Facility with relatively lower rate of interest but it attracted conditionalities in terms of liberalisation of imports—particularly to exporters, adjusting public expenditure, tilting policies towards supporting private sector, etc. These conditionalities were substantially complied with but there was a lot of domestic criticism. As BoP situation improved, Government of India did not avail the last installment of SDR 1.1 billion. Meanwhile, it may be noted that China, post-Mao, had started moving towards market-oriented reforms around this time, or few years earlier.

With Rajiv Gandhi in power in 1984, and a new generation of ideas, easing of State control on industries in terms of expansion, import requirement, lowering of taxes, were also attempted. Capacities created beyond authorised levels were regularised with some limits. Under ‘broad-banding’ diversification into related

product did not now require a new license. Cement, steel, and fertilizers industries were decontrolled. Licensing for companies with investment below a certain level, willing to locate away from urban centres was not necessary. Definition of MRTP firms was relaxed. Imports for modernisation were liberalised. List of open general license (OGL) for import of capital and intermediate items was expanded, which permitted imports without tariff. Diversification was made liberal. Security and Exchange Board of India (SEBI) was constituted in 1988 by an executive order, to oversee the security market as price rigging was rampant. Communication infrastructure was laid out. Political reservations on Planning Commission came to the fore: Rajiv Gandhi called it a pack of jokers. These steps had to be halted as political support was lacking and bureaucracy was recalcitrant. These steps were held as hesitant reforms. It was also the time, the USSR adopted glasnost and perestroika and by the end of 1989, expediting the breakdown of the iron-curtain that divided the West from the Soviet East

Noticing that growth rate had considerably slowed down in 1970s for several reasons not the least of which was the bureaucratic over-zealousness in keeping control over everything, certain measures were taken in mid-1980s to relax the controls, particularly on imports. Such measures helped improve the growth performance of the economy, however macroeconomic imbalances also gained current.

While growth rate had improved in 1980s– thanks to relaxations on restrictions, deficit financing on government side, and liberal imports and unrestrained commercial borrowing generally made two macroeconomic parameters of fiscal deficit and current account deficit, unsustainable.

Check Your Progress 2

- 1) State reasons for adoption of import substitution in industrialisation of the country.

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- 2) Explain the meaning of license, permit and quota (LPQ) raj.

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- 3) State two major international developments that help change the development thinking.

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